



Weekly Economics Gazette Newsletter

Prepared by: Sebastian, Research Analyst

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Hello!

Welcome to this week's edition of the **Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

Send us feedback and tips to finance@vseus.ca!

Market Overview:

The market continues breaking record highs, while the overall macro tension is expected to decrease as the U.S. continues to close deals with major economies.

Article 1: Elon Musk Turns to Tesla and SpaceX to Fuel His AI Ambitions

Author, Source & Date Published: Dana Hull & Edward Ludlow, Bloomberg, July 14, 2025

Link: [Reference](#)

Summary:

Elon Musk is promoting a shareholder vote¹ to make Tesla an investor in xAI, his private company that developed Grok and owns X (formerly known as Twitter).

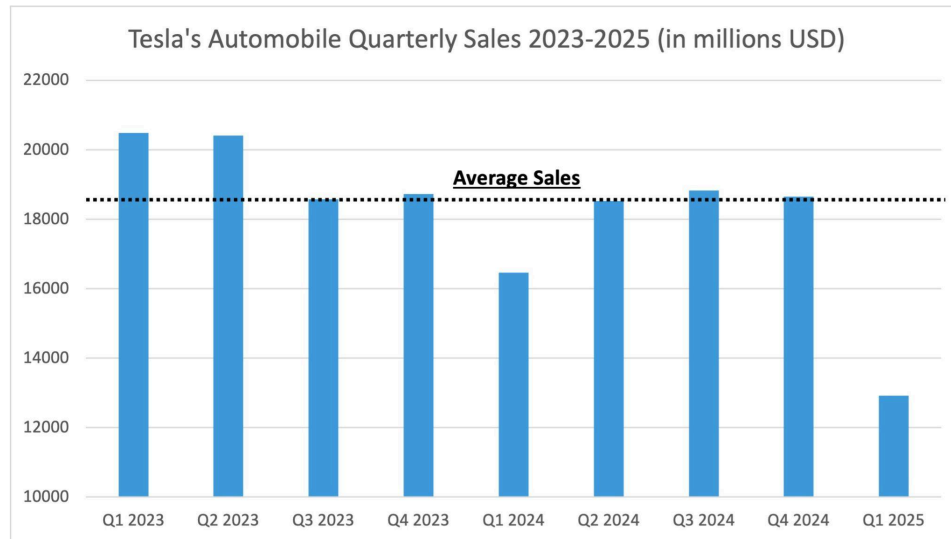
Key Takeaways:

- Musk is proposing a vote to use Tesla's shareholder capital to continue funding his AI ambitions at a time when Tesla is underperforming in sales. He frames the moves as beneficial for Tesla's shareholders by offering exposure to potential AI gains.

¹ Tesla has only one class of publicly traded common stock. 1 stock = 1 vote. However, other companies like Meta issued multiple classes of stock with different voting rights.



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Source: Automotive sales (vehicle sales revenue) figures by quarter, derived from [Tesla, Inc.](https://www.tesla.com/sec) Form 10-Q and associated SEC filings, Q1 2023 through Q2 2025.

- This move could make Tesla's valuation even more difficult to assess, as it is unclear what multiple should be applied to its future earnings. This development reinforces Musk's ongoing narrative that Tesla is a **technology company**, not merely an automaker.
- Tesla's stock benefited from this announcement, as investors who want exposure to Musk's AI company, xAI, now see Tesla as a potential entry point. The market appears confident that the vote will pass, given the loyalty of many Tesla investors to Musk's leadership.

Educational Angle:

Students should understand how public companies can be used as capitalization vehicles to support private initiatives. Musk is leveraging Tesla's substantial market cap to fund his AI projects, which require billions of dollars. While this strategy might pay off if xAI succeeds, it also carries risk.



Article 2: Private Credit Can Bring Risk Along With Liquidity to Commercial Property Finance

Author, Source & Date Published: Asa Fitch, WSJ, July 9, 2025.

Link: [Reference](#)

Summary:

Private lending is playing an increasingly important role in commercial real estate, projected to fund 10% of U.S. commercial properties by 2030.

Key Takeaways:

- **Business Development Companies (BDCs²)** are publicly traded companies that lend money to mid-market companies that do not comply with requirements to access traditional bank loans. These requesting companies have a greater level of financial risk, so they are charged a higher interest. Many of these private credit vehicles borrow money themselves in order to fund their own lending operations.
- Banks' lending to private credit (also known as direct lending) vehicles grew rapidly over the last years. According to the U.S. Federal Reserve, bank's loans to private credit companies increased 19.5% annually during the last 5 years.
- Private credit often offers higher loan-to-value (LTV) ³ratios—typically 60–75%, compared to 50–65% for banks.
- Private loans are boosting different industries with strong collateral around North America and Europe, especially commercial real estate. One of the most common financial instruments is private debt (PD) funds⁴.
- The default rates on these private credits are low. At the same time, private lending nonbank firms create liquidity in the market, because they are subject to weaker regulation, unlike the banks.

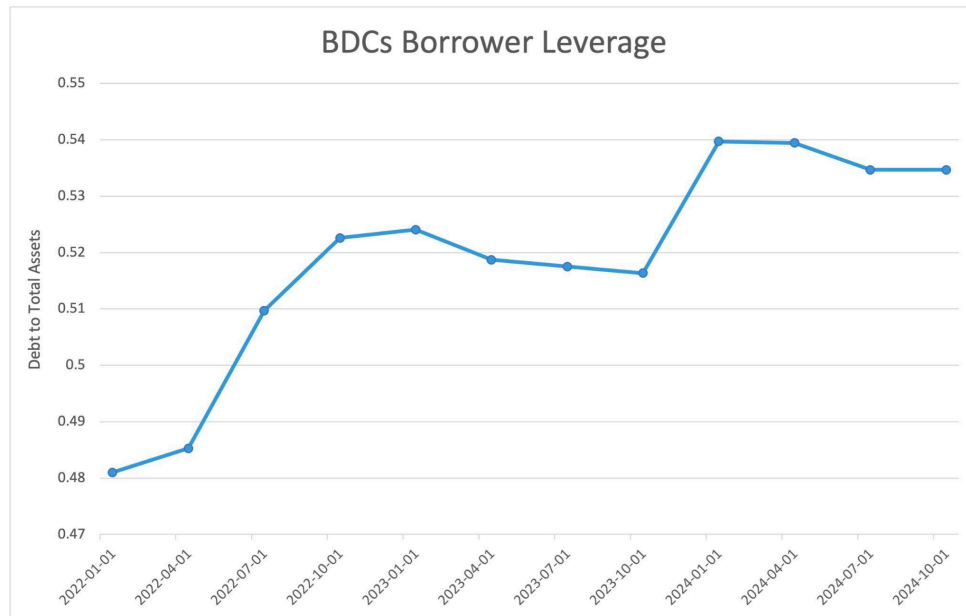
² BDCs do not face the same levels of scrutiny as banks, because the SEC (Security and Exchange Commission) focus on them is more on transparency to shareholders, and not systematic risk.

³ Loan-to-Value: loan amount / property value

⁴ Private Debt Funds: Funds that lend money directly to companies. These funds are very illiquid, as they intend to restrict the amount of money you can pull out in one go, to protect the rest of the investors and to have the right quantities of cash.



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Source: Board of Governors of the Federal Reserve System (2025), Bank Lending to Private Credit: Size, Characteristics, and Financial Stability Implications. FEDS Notes, May 23, 2025.

Educational Angle:

Students should understand that private credit is not isolated from the broader financial system. If Business Development Companies (BDCs) were to default on their loans from banks, it could lead to financial distress within the banking sector. While this is not currently the case, it is important for students to recognize the growing interconnectedness between private credit and traditional finance. Moreover, consider the implications of this relationship, including the potential need for increased regulation of these entities in the future.



Article 3: Japan Trade Deal and European Talks Send U.S. Stocks Higher

Author, Source & Date Published: Krystal Hur, WSJ, July 23, 2025

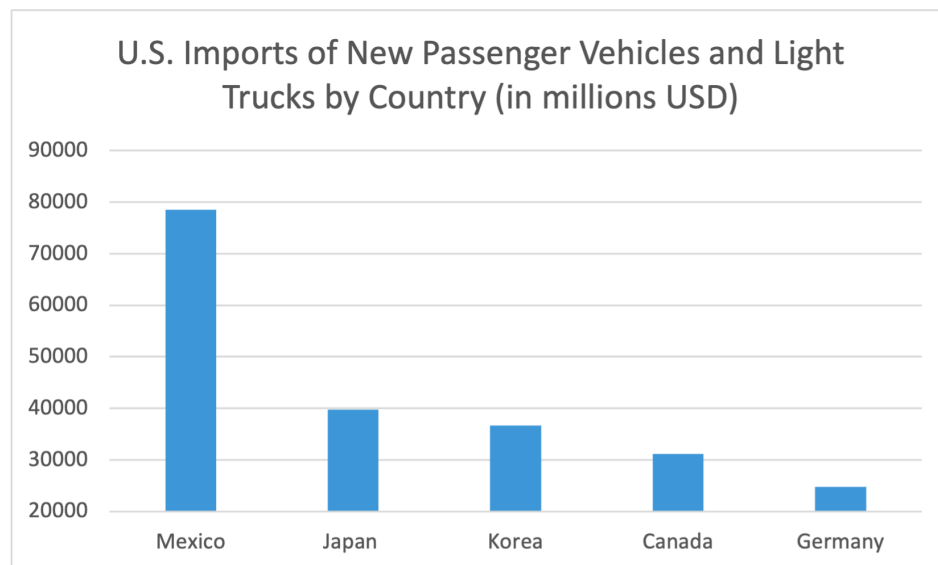
Link: [Reference](#)

Summary:

Japan's trade agreement with the U.S. boosted investors' confidence as it set a successful precedent deal under Trump's protectionist era.

Key Takeaways:

- Japan committed to invest 550 billion dollars in the U.S and open its markets in key sectors in exchange for a Trade deal with the U.S that will apply 15% tariffs on Japan (including the automobile sector).
- Currently, cars manufactured in Canada and Mexico that are exported to the U.S. remain subject to 25% tariffs if they don't comply with the USMCA agreement. For qualifying USMCA vehicles, the 25% tariffs will only be applied to the non-American parts.



[International Trade Administration](#) (2025, July 24). *New Vehicle Trade Data Visualization*. U.S. Department of Commerce.



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- U.S. auto manufacturing stocks rose on the news, which might seem counterintuitive. Automakers such as General Motors and Ford still face higher tariffs due to their North American supply chains. However, corporate leaders voiced frustration with the current policy, as their operations heavily depend on Canada and Mexico. The market remains optimistic that if Japan secured such a deal, Mexico and Canada could soon follow.

Educational Angle:

Students should recognize that the stock market values **future revenue expectations** more than current conditions. Despite still being at a relative disadvantage under current tariffs, stocks like **Ford (+1.96%)** and **GM (+8.49%)** rose because the Japan deal signals the possibility of similar trade conditions for North American partners. This future-oriented outlook is what drives market reaction.
